Leadership, types and theories

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Leading

Leading is the process to influence and direct group of people/ work related people towards the goals of the organization.

Leader: leaders who can influence the behaviors of others without having to rely on force, those accepted by others as leaders**.**

A leader has a vision, who inspires people, in such a way that it becomes their vision.

Further, the leader can be any person having the potential to influence others, be it a manager of an organization, or head of the family, or a captain of a team, minister of a state, or leader in an informal group.

Now, you must be wondering, **why people follow a leader?** Well, it is because the behavior of people is influenced by the leader. And that is why a leader can exercise power over them.

Power: Power is the ability of individuals or groups to influence or to induce the beliefs or actions of other persons or groups.

Authority: Authority is the right in a position to exercise discretion in making decisions affecting others, it is derived from power of position or legitimate power.

Leadership and Leader

Leadership: Leadership is the art or process of influencing people so that they will strive willingly and enthusiastically toward the achievement of group goals.

Heinz weihrich, Mark V. Cannice and Harold Koontz

Leadership is both a process and a property

As a process, leadership is the use of no coercive influence to shape the group or organization's goals, motivate behavior toward the achievement of those goals and help define group or organizational culture.

As a property, leadership is the set of characteristics attributed to individuals who are perceived to be leaders.

Ricky w. Griffin

Qualities of a Leader

A leader has many qualities, some of them are listed hereunder:

Foresightedness: To predict and make plans for the future.

Intelligence: To integrate and interpret relevant information.

Creativity: To have unique, innovative, and original thinking.

Enthusiasm: To remain energetic, show interest, and think positively.

Charisma: To attract and influence people.

Decisiveness: To take quick and appropriate decisions.

Self Confidence: To trust their competencies and have confidence in their abilities.

Bravery: To take the first move, to bring change in certain situations.

Types of Leader: There are mainly four types of leader:

- **Transactional Leader**: These leaders use social exchanges to influence followers, i.e. they motivate by rewarding the subordinates for their productivity and this induces them to work towards the achievement of the goal.
- **Transformational Leader**: Such leaders encourage and awaken followers to make efforts in achieving extraordinary outcomes. He/she is someone who comes forward to change things.
- **Charismatic Leader**: He/she is one such leader whose energy, enthusiasm, and charisma often motivate people to behave in a specific manner. He derives his power from exemplary character and heroism.
- **Visionary Leader**: Visionary Leader is the one who has the potential to develop and pursue the vision, which is not just realistic but achievable too. He possesses psychological attractiveness, due to which people get influenced towards the leader's dreams.

Basis for comparison	Leader	Manager
Meaning	A leader is a person who directs, guides and influences the behavior of his followers towards the attainment of specific goals.	A manager is a representative of the organization responsible for the management of the work of a group of employees and takes requisite actions whenever required.
Work	Providing direction to the employees by creating vision and communicating it and encouraging them to reach effortlessly.	Formulating the structure of the organization and delegating authority and responsibilities to the employees.
Management function	Performs only one function - direction.	Performs all five functions - planning, organizing, staffing, directing, and controlling.
Authority	Informal authority by virtue of his/her personal qualities	Formal authority due to his/her positional role.
Approach	Proactive	Reactive
Exists in	Both formal and informal structure.	Formal structure only.
Qualities Required	Leadership qualities are required.	Both managerial and leadership qualities are required.
Motivation	Intrinsic process	Extrinsic Process

Basis for comparison	Leader	Manager
Key Attribute	Foresightedness	Prompt decision making and coordination
Subordinate	Followers	Employees
What does he/she do?	Sets directions	Plans activities
Style	Transformational	Transactional
Aims at	Motivating and inspiring people	Directing and Controlling employees
Focus	People	Process
Change	Promotes change.	Reacts to change.
Conflict	Uses conflict as an asset	Avoid conflict
People	Aligns people	Arranges people
Strives	For effectiveness	For efficiency

On the Basis of Functions

BASIS	MANAGEMENT	ADMINISTRATION
Meaning	Management is an art of getting things done through others by directing their efforts towards achievement of pre-determined goals	It is concerned with formulation of broad objectives, plans and policies
Nature	Management is an executing function	Administration is a decision-making function
Process	Management decides who should do it and how he should do it	Administration decides what is to be done and when it is to be done.
Function	Management is a doing function because managers get work done under their supervision	Administration is a thinking function because plans & policies are determined under it
Skills	Technical and Human skills	Conceptual and Human skills
Level	Middle & Lower level function	Top level function

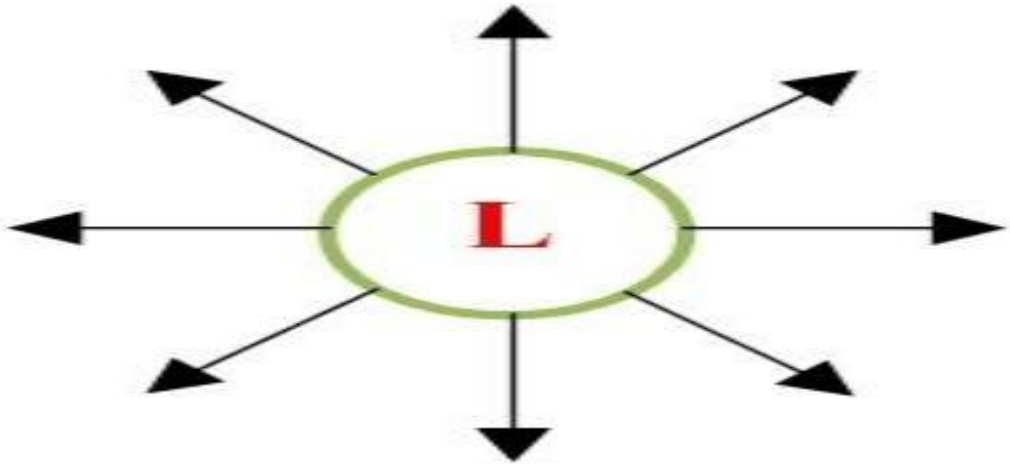
Basis for comparison	Boss	Leader
Meaning	A person who gives orders to employees and behaves in an authoritative way, seeks control and tells his men what to do, is a Boss.	A person who influences, inspires, supports and encourages a group of individuals, and works continuously on the achievement of goals is a leader.
Subordinates	Employees	Followers
Gains respect	Due to seniority.	Due to the ability and quality of his character.
Orientation	Profit oriented	People oriented
What he does?	Administers and dominates	Innovates and collaborates
Seeks	Control	Commitment
Driving force	Standards	Values
Focuses	On structure	On vision
Work	Knows how work is done.	Shows how work is done.
Delegates	Tasks and Responsibilities	Authority
What to do?	Likes to tell employees.	Prefers to teach employees.
Mistake	Places blame, shows who is wrong.	Fixes it, shows what is wrong.

Transactional Leadership Vs Transformational Leadership

Basis for comparison	Transactional leadership	Transformational leadership
Meaning	A leadership style that employs rewards and punishments for motivating followers is Transactional Leadership.	A leadership style in which the leader employs charisma and enthusiasm to inspire his followers is Transformational Leadership.
Concept	Leader lays emphasis on his relation with followers.	Leader lays emphasis on the values, ideals, morals and needs of the followers.
Nature	Reactive	Proactive
Best suited for	Settled Environment	Turbulent Environment
Works for	Developing the existing organizational culture.	Changing the existing organizational culture.
Style	Bureaucratic	Charismatic
How many leaders are there in a group?	Only one	More than One
Focused on	Planning and Execution	Innovation
Motivational tool	Attracting followers by putting their own self-interest in the first place.	Stimulating followers by setting group interest as a priority.

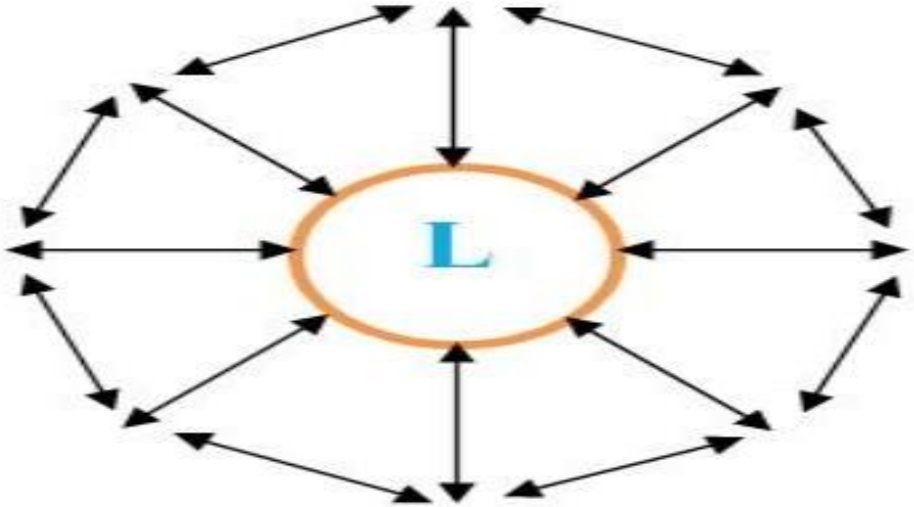
Definition of Autocratic Leadership

Autocratic Leadership, or otherwise called as authoritarian leadership, is a leadership style adopted by the management, involving one-man control over all managerial decisions of the organization, without consulting with the subordinates. Under autocratic leadership, centralization of power exists, that lies in the hands of the leader, and so there is marginal input from the group members. Thus, all the decisions regarding the policies and procedures are taken by the leader himself/herself.



Definition of Democratic Leadership

The leadership style which involves the considerable amount of participation of the employees in the decision-making process and organization's management is known as participative or democratic management. The suggestions and opinions of the subordinates are given importance. Indeed, they are frequently consulted, on different matters.



Major leadership theories

Behavioral theory. The behavioral leadership theory focuses on how leaders behave, and assumes that these traits can be copied by other leaders. Sometimes called the style theory, it suggests that leaders aren't born successful, but can be created based on learnable behavior. Behavioral theories of leadership focus heavily on the actions of a leader—this theory suggests that the best predictor of leadership success is viewing how a leader acts. Action rather than qualities are the focal points of behavioral learning theory. Patterns of behavior are observed and categorized as "styles of leadership" in this theory. Some of the styles of leadership include task-oriented leaders, people-oriented leaders, country club leaders, status-quo leaders, dictatorial leaders.

Contingency theory. The contingency leadership theory, sometimes called situational theory, focuses on the context of a leader. These theories look at the situational effects of the success or failure or a leader. A leader's effectiveness is directly determined by the situational context. While a leader's personality is a small factor in their success, the most important factor is the context and situation of the leader. This theory takes the specific leadership styles and suggests that good leaders can adjust their leadership style situationally. It also suggests that it may be best to find the right kind of leader for a specific situation. Types of contingency theories include the Hershey and Blanchard's Situational Theory, the Evans and House Path-Goal Theory, and Fiedler's Contingency Theory.

Great Man theory. The great man theory of leadership, sometimes called the trait theory, suggests that good leaders are born. They have innate traits and skills that make them great, and these are things that can’t be taught or learned. The trait theory suggests that leaders deserve to be in their position because of their special traits.

Management theory. The management theory is sometimes called transactional leadership, and focuses on supervision, organization, and group performance. Transactional leadership is a system of rewards and punishments, and transactional leadership is regularly used in business. When employees do something successful, managers reward them. When they fail, they may get punished. Transactional rewards and punishments are given based on the idea that people really only do things for the reward. Their psychology doesn't allow human beings to do things out of goodness, but rather out of the promise of a reward.

Participative theory. Participative leadership isn’t as common in the corporate world. Sometimes called democratic leadership, this leadership theory suggests that employees be directly involved in decision making in their organization. The leader simply facilitates a conversation and then takes all the suggestions, and comes up with the best possible action. In this theory, everyone is very involved with decisions for the team and organization, with the leader simply helping direct the charge.

Power theory. This theory looks at the way a leader utilizes their power and influence to get things accomplished. French and Raven's Five Forms of Power is a commonly known power theory of leadership. It looks at positional power and personal power and how they impact leader’s choices and outcomes.

Relationship theory. The relationship theory of leadership focuses on leaders who are mainly concerned about their interactions with others. They are often mentors for employees, scheduling time to talk to them and working to meet their needs. These kinds of leaders are focused on making work enjoyable for as many people as possible, and they want to foster a positive work environment. Studies show that this kind of leadership behavior can be the most effective for many employees. Relationship-oriented managers often get better results from their employees.

Crafting Your Leadership Style

- Our leadership style is usually rooted in personal preferences, which can take time to change. But that doesn’t mean it’s not worth thinking through what's working and what isn't. Understanding your natural leadership style and when other styles are more effective can help you broaden your skillset and become a better leader.
- Are you wondering how to identify your leadership style? Use these three strategies to help find it and adapt as needed:
- **Know yourself.** Start by learning your dominant leadership style. Do you prefer to give orders or delegate authority? Do your preferences lie somewhere in between? Ask trusted colleagues to describe your leadership strengths and/or take a leadership assessment such as these:
- **Know your employees.** Communication is a vital component of leadership. Therefore, it's essential to adapt how you communicate with your employees based on their personalities and specific situations. For example, you can take a delegative leadership approach with team members who thrive working independently. In contrast, an autocratic approach may benefit new employees or individuals who prefer pointed directions.
- **Know the leadership styles.** Familiarize yourself with the common leadership styles, and focus on which work best for different situations. What new skills might you need to develop? For example, if you're a pacesetter, it's wise to work on affiliative leadership skills to help prevent employee burnout. Identify new skill sets and work to incorporate them into your leadership.

Bases of power

Legitimate power: It arises from position and derives from our cultural system of rights, obligations, and duties whereby a “position” is accepted by people as being legitimate.

Expertness power: This is the power of knowledge. Physicians, lawyers, and university professors may have considerable influence on others because they are respected for their specialized knowledge.

Referent power: Influence that people or groups may exercise because people believe in them .and their ideas. Example: Movie star.

Reward power: It arises from the ability of people to grant rewards. University professors have considerable reward power. They can grant or withhold rewards.

Coercive power: It is closely related to reward power and normally arising from legitimate power. It is the power to punish, whether by firing a subordinate or by withholding a merit pay increase.

Leadership styles:

- Autocratic leader: commands and expects compliance, is dogmatic and positive, leads by the ability to withhold or give rewards and punishment.
- Democratic or participative leader consults with subordinates and encourages their participation.
- The free-rain leader uses power very little, if at all, giving subordinates a high degree of independence.

- Autocratic leadership style is the best if benevolent.
- Democratic style was originated from Roman civilization. It is the rule of majority. It may be consultative, participative, management by consensus and empowerment.
- Sharing leadership is based on the notion “ Government by the people, for the people, of the people”. Abraham Lincoln
- Laizzes faire is the style of leadership where leader has power but he/she is not exercising the power. It is also called no leadership because no leadership/influence is done.

Theories of leadership

- Trait theory of leadership is composed of a set of distinct traits. These are the traits which people inherit. From this point of view, leaders are born not made. In short it can be said that leadership is simply composition of distinct traits.

- Behavioral theory: Leadership is a distinct pattern of behavior. Behavior can be learnt. From that point of view, leaders can be made not born. Managers are leaders but leaders are not managers. Behaviors are learnt from society.

The managerial grid

A leadership style developed by Robert Blake and Jane Mouton. The grid has two dimensions.

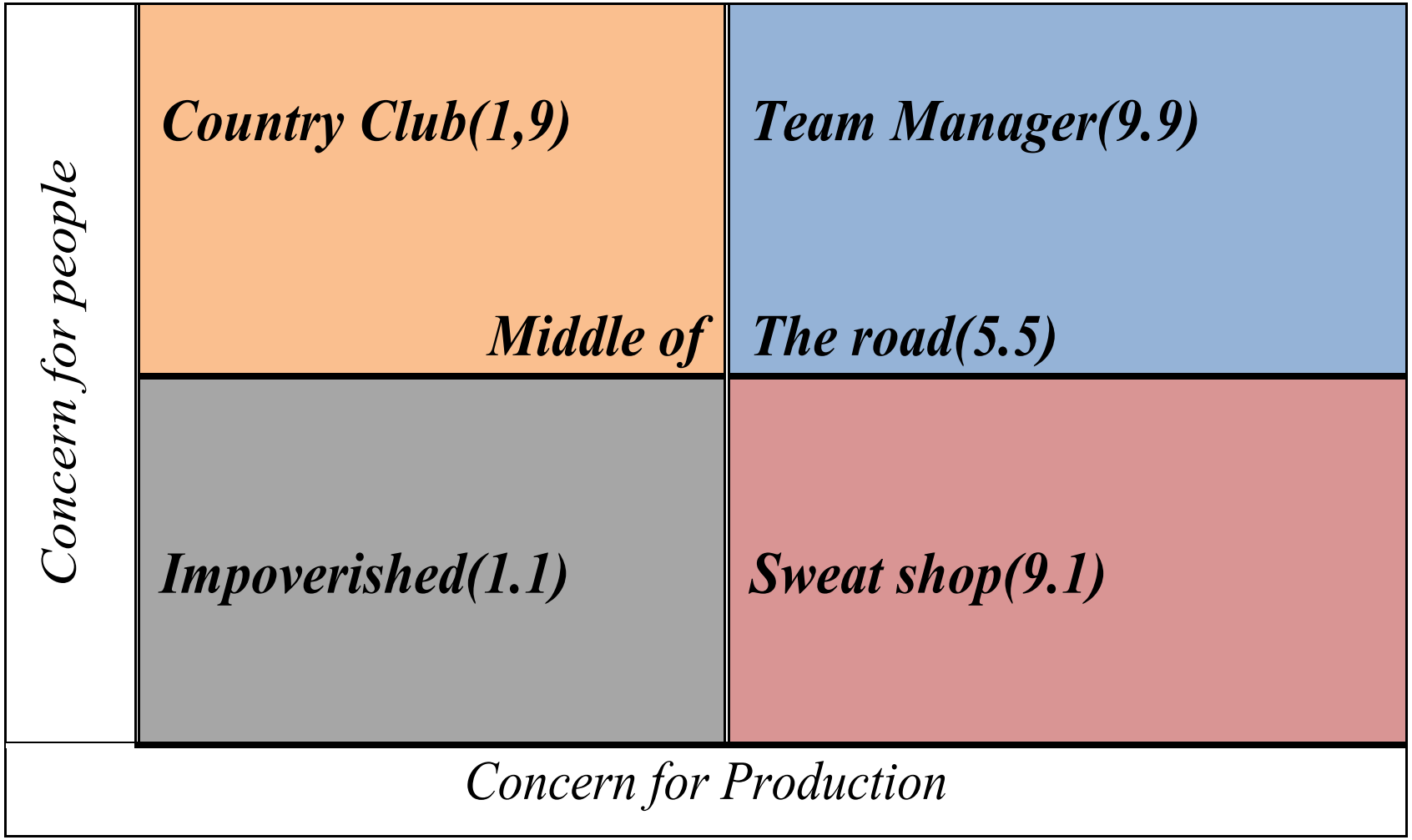
- Concern for production & Concern for people.

<u>1.1 Style referred to as impoverished</u>

Management, managers concern themselves very little either people or productions and have minimum involvement in their jobs. Here manager acts as messenger.

<u>9.9 Managers(Team managers)</u>

Maximum concern for both people and output. Team managers or leaders are able to mesh the production needs of the enterprise with the needs of the individuals.


Country Club(1,9)
Team Manager(9.9)
Middle of
The road(5.5)
Impoverished(1.1)
Sweat shop(9.1)
Concern for people
Concern for Production

1.9 Management (called country club)

Managers have little or no concern for production but are concerned only for people. They promote an environment in which everyone is relaxed, friendly, and happy and no one is concerned about putting forth coordinated effort to accomplish enterprise goal.

9.1 Management styles(sweatshop): This type of manager or leader wants maximum output but has no concern for the welfare of the laborers . They follow autocratic style of leadership.

5.5 organizational man

Our government offices are under this style. Half concern for output and half concern for people.

Contingency theory

Contingency theory states that leadership is contingent upon situation. No two situations are alike, so no particular pattern of leadership is not applicable to every situation.

So leaders must analyze the situation and act accordingly. Situation will say what type of leadership must be used otherwise leadership will be ineffective.

Leadership is made by the situation and leadership style depends on situation.

Supportive leadership

Supportive leadership gives consideration to the needs of subordinates, shows concern for their well-being and creates a pleasant organizational climate. It has the greatest impact on subordinates performance when they are frustrated and dissatisfied.

Characteristics of supportive leadership:

- Ideally people should be encouraged to develop not only willingness to work but also willingness to work with zeal and confidence.

- Leaders do not stand behind a group to push and prod, they place themselves before the group as they facilitate progress and inspire the group to accomplish organizational goals.
- Leader has to have helping hands. If any problem arises, the leader must support subordinates to overcome the problem.
- Leader must be calm and quite.
- Boss can carry some burden by providing supporting staffs.
- Employees may have knowledge and experience deficiency, the leader should address these shortcomings and support to improve these.

- Supportive leadership can be demonstrated in many ways:

-skill and interest in coaching and counseling.

- Praise for a job well done.
- Constructive feedback leading to improvement of job performance.

- Leader should understand the mind of subordinates.

McGregor's Theory X and Theory Y

Two sets of assumptions about the nature of people. (how managers themselves see in relation to others).

Theory X Assumptions:

- Average human beings have an inherent dislike of work and will avoid it if they can.
- Because of this, most people must be coerced, controlled, directed and threatened with punishments to get them to put forth adequate effort toward the achievement of organizational objectives.
- Average human beings prefer to be directed, wish to avoid responsibility, have relatively little ambition and want security above all.

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Theory Y Assumptions

1. The expenditure of physical and mental effort in work is as natural as play or rest.
2. External control and punishment are not the only means for producing effort toward organizational objectives. People will exercise self- direction and self control in the service of objectives to which they are committed.
3. The degree of commitment to objectives is in proportion to the size of the rewards associated with their achievement.
4. Average human beings learn, under proper conditions, not only to accepted responsibility but also to seek it.
5. Imagination, ingenuity and creativity are encouraged.
6. Intellectual potentialities are only partially utilized.

Theory X is pessimistic, static, and rigid, control is external, imposed on subordinate by the superior.

Theory y is optimistic, dynamic, and flexible and the integration of individual needs with organizational demands.

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